Atchison

Portfolio Update – 5th August 2024

Abrnd Risk Mitigation Fund (EQI4297AU) will be removed from our Alternatives Sleeve and SMA’s and converted to Cash across CFS and Hub platforms, as of close of business 6th August 2024.

Current Abrnd Risk Mitigation exposure is 4.5 per cent of the Alternatives Sleeve, and 0.50 per cent of total SMA exposure.

Additional cash will be re-deployed into existing alternative positions, or a different alternative investment when appropriate.

Portfolio Update - 9 July 2024

REBALANCE OF PORTFOLIO TARGETS

We have taken this opportunity to implement a periodic rebalance of portfolio allocations.

Key components of the current rebalance include:

1. Reducing exposure to Australian equities, approaching long-term targets (SAA)
2. Maintaining overweight international equities position, but trimming recent profits
3. Reducing exposure to Real Assets, approaching long-term target weights (SAA)
4. Increasing exposure to Alternatives, approaching long-term targets (SAA)
5. Maintaining both long duration and floating rate exposure, with a bias towards floating rate.

In determining the frequency and timing of rebalancing, we balance the above benefits against the trading costs involved for clients.

We employ a disipline regarding periodic portfolio rebalances for a combination of reasons, including:

1. Reduce weightings to recent winners and buy-up recent losers (i.e attempt to buy low / sell high)
2. Update portfolios to tactically align with our market view
3. Spend cash that builds up after dividends/distributions are received from underlying investments

ADDITION OF GOLD INVESTMENT to Dynamic (passive portfolios) - iShares Gold ETF (ASX Code: GLDN)

GLDN was added to the Active SMA's at the start of Q2 of 2024 and is now being added to the Dynamic SMA's Q3 2024.

Why hold GLDN now? Firstly, being a precious metal, the future supply of gold is severely limited, ensuring that gold will remain in demand and well supported for its multiple uses both in jewellery but also as an investment.

Secondly, gold has historically performed well during periods of transition in the global economy, acting as a hedge against volatility and unexpected events.

Thirdly, owning gold in Australian dollars provides a hedge against movements in our currency. While much of the movement in gold is driven by the value of gold bullion in USD, it's value will also increase when the value of the USD falls. We believe gold bullion should be a stalwart of all portfolios, remaining at a material level in all market conditions due to its hedging characteristics.

Fourthly, GLDN charges a fee of just 0.18 per cent for the exposure it provides, the lowest available for those backed by real gold bullion holdings. This will materially lower the underlying aggregate fees of the Alternatives sleeve.

LOWER PLATFORM OPERATING CASH TARGETS

The CFS / EDGE platform requires an absolute minimum of 1% of each model portfolio to be allocated to platform operating cash. When the model operating cash weight falls below 1% CFS / Edge require immidiate rebalancing.

Given the Atchison Active 55 and 70 portfolios invest primarily via investing into Active sector sleeve SMA portfolios, two layers of platform operating cash are required. A reduction in the target platform operating cash amount to 1.2% (individually at sector sleeve and at the multi-asset level) has been implemented - as we seek to optimise the level of cash within portfolios.

HOW TO INVEST?

Our SMA strategies are currently available on the following platforms:

CONTACT US

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